The only consolation was when Prime Minister Rajiv Gandhi appointed his friend Ratan as chairman of Air-India in 1986. He was preferred over Russi Mody. However, the chairmanship was not a rewarding experience. Rajan Jetley, who was appointed as Air-India's MD, would, according to an article in a newsmagazine, behave like an 'Ayatollah thrusting his corporate ideology down unwilling throats'. This clashed with Ratan's more democratic style of working.

Jetley's style of working led to non-cooperation among the airline employees, which in turn resulted in a deterioration in the airline's standards and decreased popularity among passengers. Its financial prospects also worsened.

In a board meeting held in May 1988, Ratan lamented the 'deterioration in the morale and financial performance at Air India'. He said that the employees 'needed to be motivated and their morale needed to be built up. This had to be done by human interaction and meeting human sensitivity'. The following month, Ratan noted that the airline had performed disappointingly under Jetley; it had 'registered a loss of Rs 44 crores against a budgeted profit of Rs 24 crores in 1987-88'.

Faced with an autocratic MD, government interference and internal politics, in December 1988, Ratan threw in the towel. Later, in an interview, he recalled: 'The Rajan Jetley era and so on were sort of troublesome times and there were divergent views. I wanted to resign, but Rajiv refused to let that happen. So the day he lost power, I quit.' But he never gave up on his aviation dream.

Strong Headwinds

In 1990, the newly elected V.P. Singh government rekindled the Tatas' aviation dream when it reached out to them with a proposal of launching a domestic airline again. But even as the group was busy putting together its proposal, the government collapsed.

Ratan did not have to wait for long, though. In 1991, the Congress returned to power and in 1994, the government rekindled Ratan's dream of entering the aviation sector when it abolished the law under which air transport had been nationalized. But the road proved to be long-winding and bumpy.